SECTION A

Q1. (a)

Body corporate means an association that the law treats as a person separate from its members. It can own property, enter contracts and sue or be sued in its own name. Under the Companies Act, 2013 it includes a company and a foreign company, but not a co-operative society.

Q1. (b)

One Person Company (OPC) is a company that has only one person as its member. It gives that person limited liability and a separate legal identity. Only a natural person who is an Indian citizen and resident can form an OPC.

Q1. (c)

Memorandum of Association (MoA) is the charter of a company. It states the name, registered office, objects, liability of members and share capital, and it binds the company in its dealings with outsiders. Anything done outside its objects is ultra vires and void.

Q1. (d)

Certificate of Incorporation is the certificate issued by the Registrar of Companies after the company is registered. It is conclusive proof that the company has been duly formed and that the requirements of the Act have been complied with. The company comes into existence from the date on the certificate.

Q1. (e)

Key Managerial Personnel (KMP) are the officers who manage the company at the top level. They include the Chief Executive Officer or Managing Director or Manager, the Company Secretary, the Whole-time Director and the Chief Financial Officer. An officer one level below the directors may also be designated as KMP by the Board.

Q1. (f)

1. **Managing Director:** A director entrusted with substantial powers of management of the affairs of the company.
2. **Independent Director:** A non-executive director who has no material relationship with the company and gives an impartial view on the Board.

Q1. (g)

Proxy is a person authorised by a member to attend a general meeting and vote in his place. The authority must be in writing in the prescribed form and deposited with the company before the meeting. A proxy may vote on a poll, but not by show of hands, unless the articles say otherwise.

Q1. (h)

Notice of meeting is the written intimation of a meeting given to every person entitled to attend. It states the date, time, place and the business to be transacted. A general meeting needs at least twenty-one clear days' notice, unless shorter notice is agreed as the Act allows.

Q1. (i)

Quorum is the minimum number of members who must be present for a meeting to be validly held. For a private company it is two members. For a public company it is five, fifteen or thirty members, depending on whether the number of members is up to 1,000, up to 5,000, or above 5,000.

Q1. (j)

Defunct company is a company that is not carrying on business and is not in operation. The Registrar may strike its name off the register if it has not commenced business within one year of incorporation, or has not carried on business for the two preceding financial years and has not sought dormant status.

SECTION B

Q2.

1. **Separate legal entity:** A company is a person in law, distinct from its members, and it can own property and sue in its own name.
2. **Limited liability:** The liability of members is limited to the unpaid amount on their shares, or to the amount they have guaranteed.
3. **Perpetual succession:** The company continues even if members or directors die, retire or transfer their shares.
4. **Transferability of shares:** Shares of a public company can be transferred freely, subject to the Act and the articles.
5. **Artificial legal person:** The company is created by law, acts through human agents, and has a nationality and a common seal if it chooses to have one.

Q3.

1. **Preparation of documents:** The promoters finalise the Memorandum and Articles and collect the particulars of subscribers and the first directors.
2. **Filing with the Registrar:** An application is filed with the Memorandum, Articles, a declaration of compliance, the registered-office address and the required fees.
3. **Declarations and consents:** Subscribers and first directors file affidavits, and a professional declares that the requirements of the Act have been met.
4. **Scrutiny by the Registrar:** The Registrar examines the documents and, if they are in order, registers the company and allots a Corporate Identity Number.
5. **Certificate of Incorporation:** The Registrar issues the certificate, which brings the company into existence as a body corporate from the date mentioned in it.

Q4.

Basis	Memorandum of Association	Articles of Association
Nature	Charter of the company; it defines the company's objects and powers	Internal rules for the management of the company
Contents	Name, registered office, objects, liability and capital	Shares, directors, meetings, accounts and internal procedure
Relation	Governs the company's relation with outsiders	Governs the relation between the company and its members
Alteration	Altered only by the strict procedure in the Act, and some changes need approval	Altered by a special resolution, which is a simpler process
Scope	The company cannot go beyond the Memorandum	The Articles must stay within the Act and the Memorandum

Q5.

1. **Act within the constitution:** A director must act according to the articles of the company.
2. **Good faith:** He must act in good faith to promote the objects of the company for the benefit of its members as a whole, and in the best interests of the company, its employees, the shareholders, the community and the environment.
3. **Care and skill:** He must exercise reasonable care, skill and diligence, and use independent judgement.
4. **No conflict of interest:** He must not place himself in a situation where his personal interest conflicts with the interest of the company.
5. **No undue gain:** He must not achieve any undue gain or advantage for himself or his relatives, and he must not assign his office.

Q6.

1. **Lawful decisions:** Meetings are the lawful way for members and directors to decide the company's business.
2. **Communication:** They let the management explain results, plans and problems to the members.

3. **Control over directors:** At the annual general meeting the shareholders receive accounts and can question and appoint directors.
4. **Statutory compliance:** The Act requires Board meetings and general meetings, so holding them keeps the company within the law.
5. **Protection of members:** Proper notice, quorum and minutes give every member a fair chance to be heard and create a record of what was decided.

Q7.

1. **Ordinary resolution:** Passed by a simple majority of votes cast, and used for routine matters such as adoption of accounts and appointment of auditors.
2. **Special resolution:** Passed by a majority of not less than three-fourths of the votes cast, and needed for matters such as alteration of the Articles or the name.
3. **Resolution requiring special notice:** A resolution of which special notice is given to the company, as for removal of a director or an auditor.
4. **Board resolution:** A decision of the Board of Directors, passed at a Board meeting by the majority of directors present.
5. **Resolution by circulation:** A Board resolution passed by sending the draft to all directors and getting approval from a majority, without holding a meeting.

SECTION C

Q10.

On the basis of liability

1. **Company limited by shares:** The liability of each member is limited to the unpaid amount on the shares he holds.
2. **Company limited by guarantee:** Each member undertakes to contribute a fixed sum towards the company's debts if it is wound up.
3. **Unlimited company:** There is no limit on the liability of members for the company's debts.

On the basis of members

4. **Private company:** It restricts the right to transfer shares, limits members to two hundred, and does not invite the public to subscribe for its securities.
5. **Public company:** A company that is not a private company. It needs at least seven members and may offer securities to the public.
6. **One Person Company:** A company with only one member, giving a single entrepreneur limited liability and a separate legal identity.

On the basis of control and object

7. **Holding and subsidiary company:** A holding company controls the Board of another company or holds more than half of its voting power; that other company is the subsidiary.
8. **Government company:** A company in which not less than fifty-one per cent of the paid-up share capital is held by the Central Government, a State Government, or both.
9. **Foreign company:** A company incorporated outside India that has a place of business in India, whether by itself or through an agent.
10. **Section 8 company:** A company formed to promote commerce, art, science, sports, education, research, social welfare, charity or a similar object, and which applies its profits to that object.

Q11.

Promotion

1. **Business idea:** The promoters discover a business idea and examine whether it is practicable and profitable.
2. **Assembling the requirements:** They arrange the people, money, property and preliminary contracts needed to start the company.
3. **Documents of constitution:** They settle the name and get the Memorandum and Articles drafted.

Incorporation

4. **Filing:** The promoters file the Memorandum, Articles, declarations, particulars of subscribers and first directors, and the registered-office details with the Registrar.
5. **Registration:** The Registrar scrutinises the papers and, if they are in order, registers the company and allots a Corporate Identity Number.
6. **Certificate of Incorporation:** This certificate is issued, and from its date the company exists as a body corporate with perpetual succession.

Raising of capital

7. **Prospectus or private placement:** A public company invites the public through a prospectus, or raises money by private placement; a private company does not invite the public.
8. **Allotment:** After applications and the minimum subscription are received, shares are allotted and share certificates are issued.

Commencement of business

9. **Declaration:** A company having a share capital files a declaration that every subscriber has paid for the shares he agreed to take, and confirms its registered office.
10. **Start of business:** Only after this declaration is filed with the Registrar may the company commence business; if it is not filed within the time allowed, the company may be struck off.

Q12.

Role of Directors

1. **Management of affairs:** The Board directs the company's business and uses its powers as given by the Act and the Articles.
2. **Policy and plans:** Directors frame policies, approve budgets and decide major contracts, borrowings and investments.
3. **Statutory duties:** They must act in good faith, with due care and skill, avoid conflicts of interest, and not make undue personal gain.
4. **Appointment and supervision:** They appoint key managerial personnel and supervise the work of the executives.
5. **Accountability to members:** They place accounts before the shareholders, call general meetings and answer for the company's performance.

Committees of the Board

6. **Audit Committee:** It examines the financial statements, the auditor's report and internal financial controls, and recommends the appointment of auditors.
7. **Nomination and Remuneration Committee:** It identifies persons for appointment as directors and key managerial personnel and recommends their remuneration.
8. **Stakeholders Relationship Committee:** It looks into the grievances of shareholders, debenture holders and other security holders.
9. **Corporate Social Responsibility Committee:** Where the company is covered by the CSR provisions, this committee frames the CSR policy and monitors its spending.
10. **Other committees:** The Board may also form a risk-management committee and other committees, but it remains responsible for the decisions those committees take.